

wanted. I sent away for all the Berkshire Hathaway annual reports. Along the way, I collected all the newspaper and magazine articles written about Buffett. Anything and everything Buffett or Berkshire did, I would get a copy, read it, and file it. I was like a kid following a ballplayer.

A few years later, Carol Loomis wrote an article for *Fortune* magazine titled “The Inside Story of Warren Buffett” (April 11, 1998). Marshall Loeb, then managing editor of *Fortune*, thought it was time to write a full profile of Buffett, and he knew Carol was the perfect writer. Up until that time, the only inside look you could get about Buffett came from his Chairman’s Letters and his once-a-year appearance at Berkshire’s annual meeting in Omaha. But those who were aware that Carol Loomis also edited Berkshire’s annual reports knew that if anyone could write an inside story on Buffett she would be the one. I raced to the newsstand to grab what I was sure would be the last copy available.

Carol said she wanted to write a different type of story, one that emphasized Buffett not just as an investor but also as an “extraordinary businessman.” She did not disappoint. It was a beautifully written 7,000-word article that indeed gave the Buffett faithful a more intimate look at the man now dubbed the Wizard of Omaha. Carol gave us many insights, but none more ground-shaking for me than three little sentences tucked neatly inside the article.

“What we do is not beyond anybody else’s competence,” said Buffett. “I feel the same way about managing that I do about investing: It’s just not necessary to do extraordinary things to get extraordinary results.”

Now I am sure many who read this chalked it up to Buffett’s Midwestern humility. Buffett is not a braggart. But neither does he mislead. I was sure he would not have made this statement if he did not believe it to be true. And if it were true, as I believed it was, it meant there was the possibility of uncovering a road map or, better yet, a treasure map that would describe how Buffett thinks about investing in general and stock selection specifically. This was my motivation for writing *The Warren Buffett Way*.

Reading Berkshire Hathaway annual reports for two decades, the annual reports of the companies Berkshire purchased, and the many articles written about Buffett helped me gain an understanding of how Buffett thinks about common stock investing. The single most important insight I gained was